IPO ANALYSIS REPORT · DRHP

Ekkaa Electronics (India) Limited

Mainboard · Consumer electronics and appliances ODM/OEM · filed 2026-10-01 · lead manager(s): Motilal Oswal Investment Advisors; Shannon Advisors (marketing) · issue size Rs 725 cr · price band: Not announced (fresh issue up to Rs 525 cr plus OFS up to Rs 200 cr) · analysed 2026-10-13

CALL

Screen only

CHECKS

1 fail · 5 watch · 3 pass · 5 open

Revenue rose from Rs 4,965 m to Rs 12,218 m and PAT to Rs 654 m in FY26, but operating cash flow was negative in all three years, Rs 3,834 m of debt is promoter-guaranteed, and the DCF (Rs 76) and peer-multiple (Rs 309) values disagree by 75% around the Rs 182.63 reference.

Revenue FY26 **₹1,222 cr** CAGR FY24-FY26: **13017.9%**	PAT FY26 **₹65 cr** CAGR FY24-FY26	EBITDA margin **9.4%** FY24: **-574.6%**	Cash conversion (CFO / PAT, 3 yrs) **-127.3%**
Cash tax rate (3 yrs) **15.6%**	P/E at reference (post-issue) **31.6x** peer median: **85.0x**	Blended value (Neutral) **₹169.15** vs reference: **-7.4%**	Reference price **₹182.63** Rs 182.63 (Series B CCPS placement to Abakkus Four2eight Opportunities Fund, 17-Jul-2026, Rs 1,461 per Rs 10 preference share, converting 1:1 to Rs 5 shares after the 3:1 bonus and 1:2 split)

Where to focus

× Fail **Cash flow vs profit** p. 75

Operating cash flow was negative in all three years: -286.59 / -641.12 / -152.83 (Rs m, FY26/25/24) against PAT 653.79 / 235.52 / -40.50. Cumulative CFO is -1,080.54 m against cumulative PAT of 848.81 m. Receivables and inventory absorbed Rs 972.55 m and Rs 388.97 m in FY26 alone; capex of Rs 893.28 m was funded by debt and preference capital.

! Watch **Related-party capex & subsidiaries** pp. 78-80, 274, 362

Subsidiary Ekkaa Electronics Industries was owned by promoter-directors until 29-Aug-2025 and was the issuer's largest customer in FY25 (Rs 1,043.40 m, 21.01% of revenue) and a large supplier (Rs 894.49 m purchases); the issuer borrowed Rs 1,708.58 m from it in FY25. Acquisition price Rs 490.00 m (Rs 397.58 m in shares at Rs 888 and Rs 92.42 m cash), paid to the two promoter-directors. FY26 revenue still includes Rs 758.07 m (6.20%) of sales to it before acquisition. Rent and an advance to promoter-linked entities (Gaurisuta) in FY26.

! Watch **Goodwill vs tangible equity** pp. 362, 380

The restated accounts record the Rs 490 m acquisition as a bargain purchase: customer-relationship intangible Rs 37.08 m and capital reserve Rs 20.39 m, no goodwill. The proforma balance sheet shows goodwill of Rs 84.99 m for the same transaction: the two documents carry different purchase accounting. The seller was a related party of the issuer.

! Watch **Customer / supplier / geographic concentration** pp. 22-23, 28-29

Demand: LED televisions 71.78% of FY26 revenue; top customer 16.86%, top-5 52.43%, top-10 65.77% (FY25: 21.01%, 70.05%, 80.35%); customers unnamed. Supply: top supplier 46.94%, top-5 69.74%, top-10 79.11% of FY26 raw-material purchases; imported open cells and PCB parts. Geographic split not disclosed.

! Watch **Auditor qualifications / changes** pp. 307, 372, 376

FY24 and FY25 restated figures derive from special-purpose Ind AS statements prepared for the offer (previous GAAP statutory accounts; transition date 01-Apr-2024). Statutory auditor M S K A & Associates LLP. Backup log of the accounting software kept only from 18-Feb-2026; audit-trail feature stated as enabled throughout FY26.

! Watch **SME conditions** p. 448

Offer is made under Reg 6(2) (at least 75% to QIBs) because the issuer does not satisfy Reg 6(1)(b): operating profit was negative (Rs -11.96 m) in FY24. Average operating profit over three years Rs 487.76 m; net tangible assets Rs 2,532.49 m; monetary assets 0.92% of net tangible assets.

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

Forensic scorecard

Ten forensic checks and seven regulatory checks.

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✔ Pass	Bonus (1:1 on 28-Aug-2025, 3:1 on 20-Aug-2026) and the 1:2 split are applied to every period: FY26 EPS 9.04 on about 72.3 m weighted shares, FY25 EPS 3.63, FY24 EPS (0.62), all on the post-bonus count. Basic EPS already counts the compulsorily convertible preference shares, so basic and diluted EPS are equal.	pp. 93-94, 133
2	Cash flow vs profit	✕ Fail	Operating cash flow was negative in all three years: -286.59 / -641.12 / -152.83 (Rs m, FY26/25/24) against PAT 653.79 / 235.52 / -40.50. Cumulative CFO is -1,080.54 m against cumulative PAT of 848.81 m. Receivables and inventory absorbed Rs 972.55 m and Rs 388.97 m in FY26 alone; capex of Rs 893.28 m was funded by debt and preference capital.	p. 75
3	Current vs deferred tax	✔ Pass	Current tax Rs 145.42 m on PBT Rs 796.30 m (18.3%) in FY26; cumulative current tax 15.6% of cumulative PBT (Rs 163.74 m / Rs 1,048.80 m). The statutory rate applied is 17.16% (concessional manufacturing regime). Cash taxes paid were Rs 59.60 m over three years against Rs 163.74 m current tax charged, with Rs 131.71 m of current tax liability unpaid at 31-Mar-2026.	p. 350
4	Related-party capex & subsidiaries	! Watch	Subsidiary Ekkaa Electronics Industries was owned by promoter-directors until 29-Aug-2025 and was the issuer's largest customer in FY25 (Rs 1,043.40 m, 21.01% of revenue) and a large supplier (Rs 894.49 m purchases); the issuer borrowed Rs 1,708.58 m from it in FY25. Acquisition price Rs 490.00 m (Rs 397.58 m in shares at Rs 888 and Rs 92.42 m cash), paid to the two promoter-directors. FY26 revenue still includes Rs 758.07 m (6.20%) of sales to it before acquisition. Rent and an advance to promoter-linked entities (Gaurisuta) in FY26.	pp. 78-80, 274, 362
5	Objects arithmetic as price floor	– N.A.	Fresh issue is amount-based (Rs 5,250 m), so there is no fixed share count and no objects price floor. Rs 2,250 m repays debt and Rs 1,500 m funds working capital; the rest is offer expenses and general corporate purposes (cap 25% of gross proceeds).	pp. 119-120
6	Revaluation reserve	○ Open	Revaluation reserve not separately located in this pass.	
7	Goodwill vs tangible equity	! Watch	The restated accounts record the Rs 490 m acquisition as a bargain purchase: customer-relationship intangible Rs 37.08 m and capital reserve Rs 20.39 m, no goodwill. The proforma balance sheet shows goodwill of Rs 84.99 m for the same transaction: the two documents carry different purchase accounting. The seller was a related party of the issuer.	pp. 362, 380
8	Customer / supplier / geographic concentration	! Watch	Demand: LED televisions 71.78% of FY26 revenue; top customer 16.86%, top-5 52.43%, top-10 65.77% (FY25: 21.01%, 70.05%, 80.35%); customers unnamed. Supply: top supplier 46.94%, top-5 69.74%, top-10 79.11% of FY26 raw-material purchases; imported open cells and PCB parts. Geographic split not disclosed.	pp. 22-23, 28-29

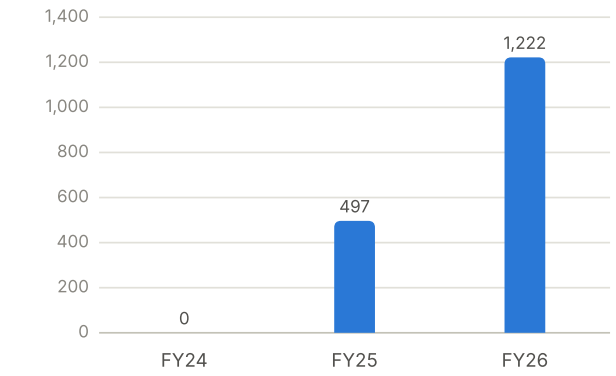
#	CHECK	RESULT	FINDING	PAGE
9	Contingent liabilities	✔ Pass	No contingent liability requiring disclosure at 31-Mar-2026. Capital commitments not reviewed.	p. 77
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	! Watch	FY24 and FY25 restated figures derive from special-purpose Ind AS statements prepared for the offer (previous GAAP statutory accounts; transition date 01-Apr-2024). Statutory auditor M S K A & Associates LLP. Backup log of the accounting software kept only from 18-Feb-2026; audit-trail feature stated as enabled throughout FY26.	pp. 307, 372, 376
R2	CARO / audit trail	○ Open		
R3	Monitoring agency	○ Open		
R4	Eligibility re-computation	○ Open		
R5	SME conditions	! Watch	Offer is made under Reg 6(2) (at least 75% to QIBs) because the issuer does not satisfy Reg 6(1)(b): operating profit was negative (Rs -11.96 m) in FY24. Average operating profit over three years Rs 487.76 m; net tangible assets Rs 2,532.49 m; monetary assets 0.92% of net tangible assets.	p. 448
R6	Lead-manager track record	○ Open	BRLMs Motilal Oswal Investment Advisors (14 IPOs in FY2026-27) and Shannon Advisors (marketing role only; two IPOs listed since FY2025-26, one at a 37% day-30 discount). Fuller track record not compiled.	pp. 456-458
R7	Firm means of finance	– N.A.	No capex object.	p. 119

Financial performance

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

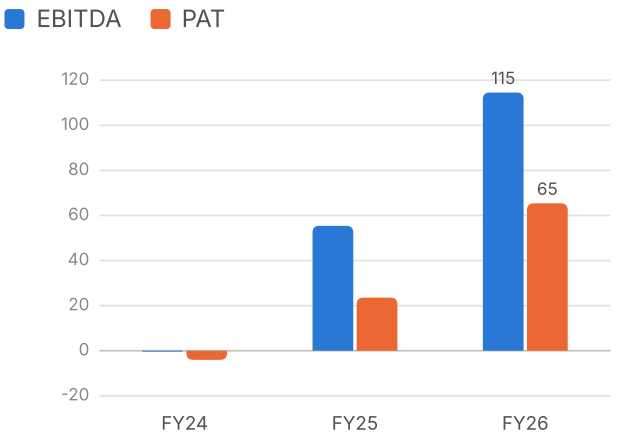
Revenue from operations

Rs crore



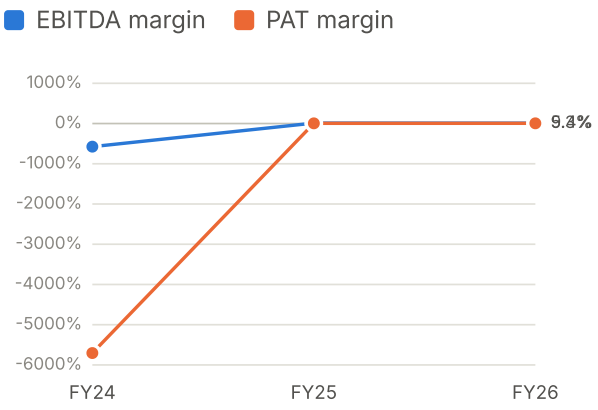
EBITDA and PAT

Rs crore



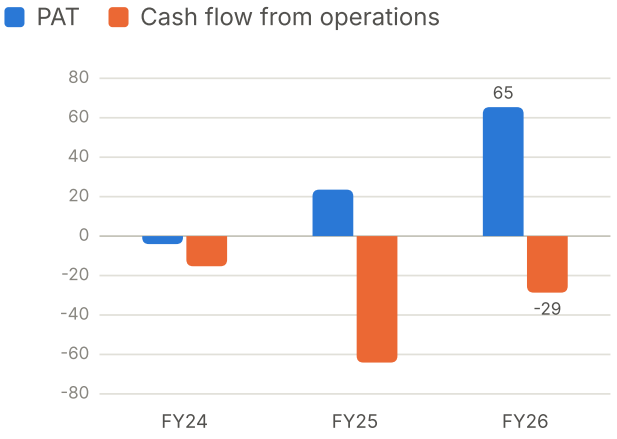
Margins

% of revenue



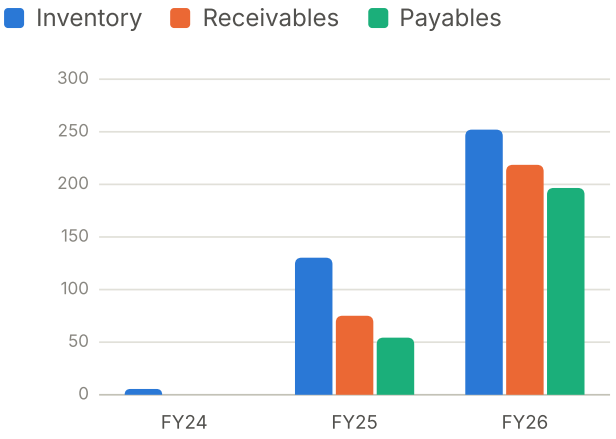
Cash conversion: PAT vs operating cash flow

Rs crore. Profit that does not become cash shows as the gap.



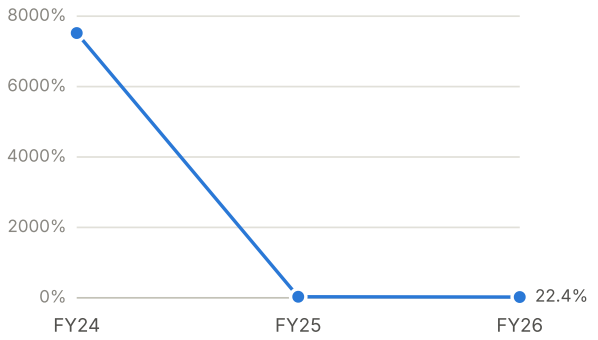
Working capital build-up

Rs crore, year end



Net working capital

% of revenue

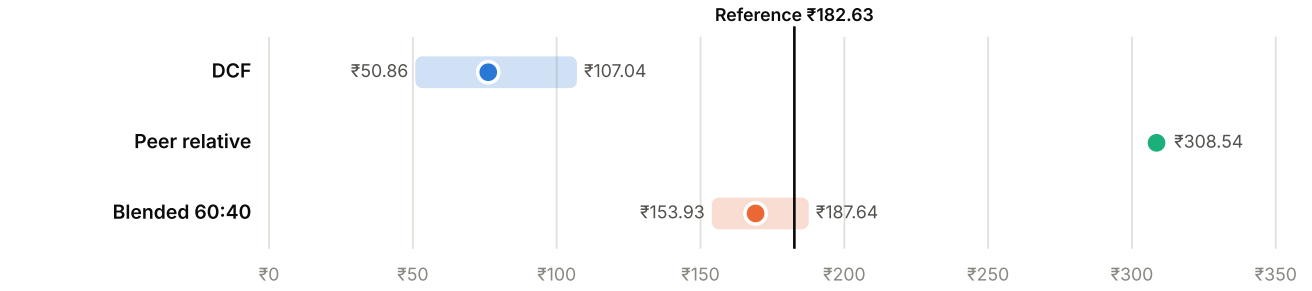


Valuation

DCF and peer-relative values shown separately, then blended 60:40. Reference: Rs 182.63 (Series B CCPS placement to Abakkus Four2eight Opportunities Fund, 17-Jul-2026, Rs 1,461 per Rs 10 preference share, converting 1:1 to Rs 5 shares after the 3:1 bonus and 1:2 split)

Valuation range per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical line is the reference price.



Scenario summary

RS/SHARE	DCF	RELATIVE	BLENDED	VS REFERENCE
Bear	₹50.86	₹308.54	**₹153.93**	-15.7%
Neutral	₹76.21	₹308.54	**₹169.15**	-7.4%
Bull	₹107.04	₹308.54	**₹187.64**	2.7%

WACC **16.7%**

Terminal value share of EV **87.8%**

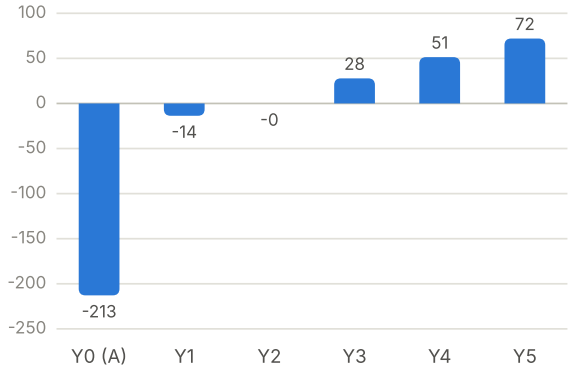
Reverse DCF: what the reference price needs

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	16.7%
required EBIT margin (steady state)	26.5%	8.3%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	22.4%

Current free cash flow is negative: no multiple can be stated, and the entire price rests on a turn that has not yet begun.

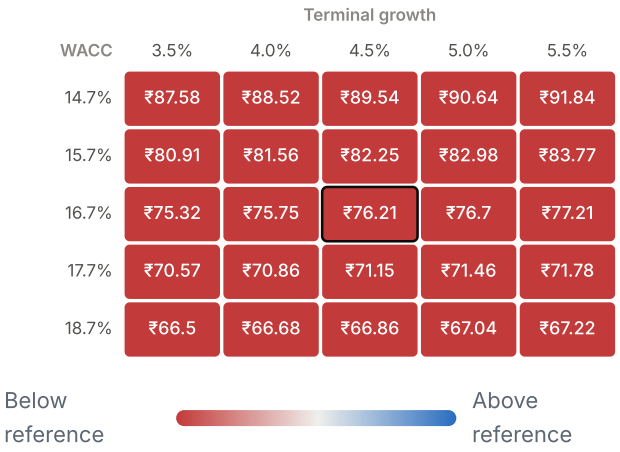
DCF projection (Neutral): free cash flow to firm

Rs crore; Y0 is the latest audited year



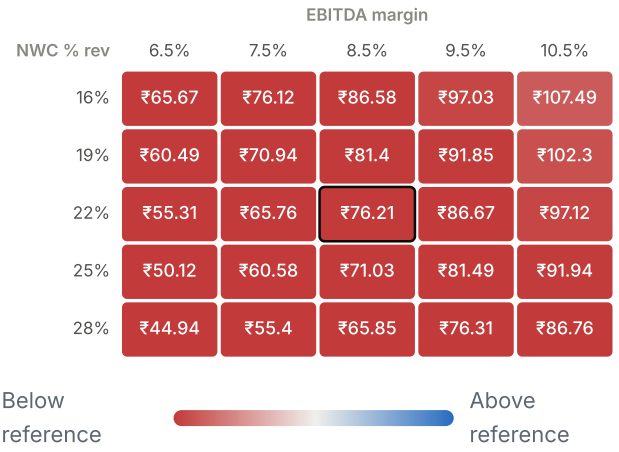
Sensitivity: WACC vs terminal growth

Value per share (Rs). Blue above, red below the reference.



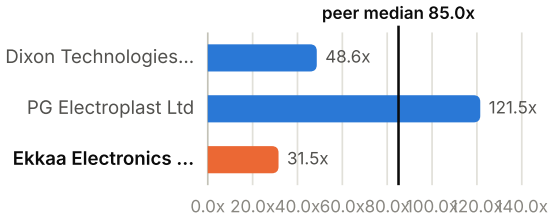
Sensitivity: working capital vs EBITDA margin

Value per share (Rs). The lever that moves value most deserves the most diligence.



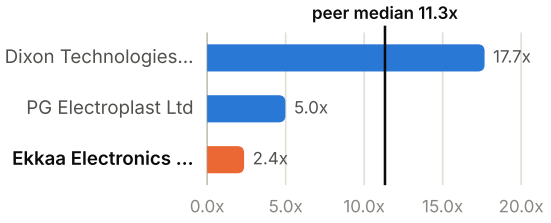
Peer P/E

Issuer at reference price (orange) vs listed peers named in the offer document



Peer P/B

Issuer on post-issue net worth

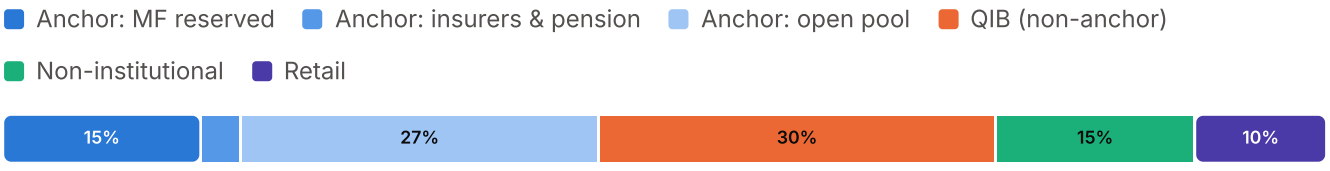


Offer structure and supply

How the issue is split, where an AIF can bid as anchor, and shares that unlock after listing.

Issue split by investor category (Rs 725 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Promoter minimum contribution (20% of post-offer capital, at Rs 182.63 reference)	225.9	548
Promoter and promoter group holding above minimum contribution, after OFS	338.2	180
Pre-issue non-promoter holders incl. CCPS conversion (Series A, Series B)	168.4	180

Anchor tranches (30 / 90 days) and promoter lock-ins are dated once the RHP fixes the allotment date.

Merchant bankers

Lead managers' recent issues: listing-day open vs issue price (offer-document data) and post-listing moves.

Motilal Oswal Investment Advisors Limited

Listed: Parent Motilal Oswal Financial Services Ltd is listed (NSE: MOTILALOFS); the merchant bank itself is a subsidiary - not independently verified
Owner: –

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	14	42,098
FY2025-26	21	49,298
FY2024-25	7	10,836

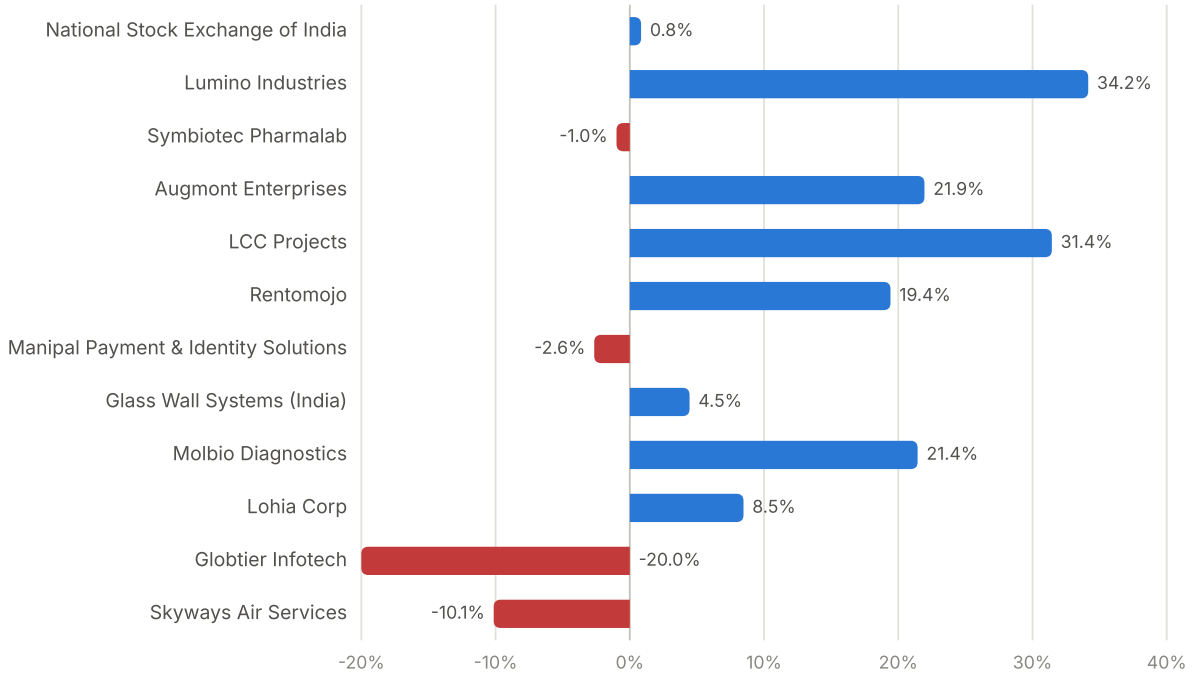
Shannon Advisors Private Limited

Listed: Not stated in the offer document
Owner: Not sourced

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	1	583
FY2025-26	1	31
FY2024-25	0	–

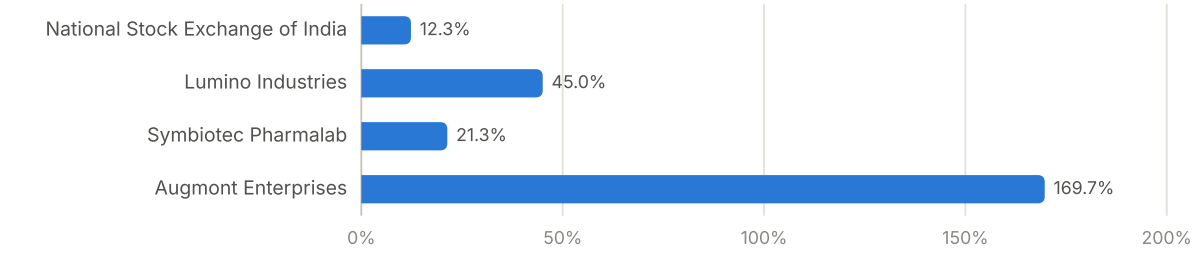
Listing-day open vs issue price

Recent issues handled by this offer's lead managers



Issuers' revenue growth, FY24 → FY26

Secondary-source financials, unverified (see note)



SWOT

Each point carries its figure and page reference in the note.

STRENGTHS

- Proforma revenue +72.3% FY26; PAT Rs 653.79 m (pp. 74, 137)
- Capacity 5.2 m units, 37.80% utilised (p. 247)
- Cash tax at 17.16% concessional rate (p. 350)
- RoCE 18.00%; interest cover 3.6x (p. 137)
- Series B priced at Rs 182.63 by an outside fund (p. 99)

WEAKNESSES

- CFO negative every year; -Rs 286.59 m FY26 (p. 75)
- Borrowings Rs 3,087.54 m; 96.8% of July debt guaranteed by promoters (pp. 73, 43)
- LED TVs 71.78% of revenue; top supplier 46.94% (pp. 22, 29)
- Gross margin flat near 17% (p. 137)
- Closing receivable days 65 vs 44 in issuer table (pp. 73, 127)

OPPORTUNITIES

- Appliances 13.7% CAGR FY26-30, issuer-commissioned (p. 168)
- Ganaur coolers and speakers ramping, 2-16% utilised (p. 250)
- Sonipat TV capacity via subsidiary (p. 243)
- Rs 2,250 m debt repayment vs finance cost Rs 278.76 m (pp. 120, 74)

THREATS

- Few large customers can switch brands (p. 23)
- Imported parts; unrealised FX loss Rs 101.08 m (p. 75)
- Raw-material price rises (p. 411)
- UP electronics subsidy is time-limited (p. 411)

Due-diligence note

Ekkaa Electronics (India) Limited: DRHP screen

> **Basis.** Draft Red Herring Prospectus dated 24-Sep-2026, filed with SEBI on 01-Oct-2026. Restated financials run to 31-Mar-2026 and are **196 days old** at the date of this note. **No price band has been announced.** Figures are from the DRHP (printed page numbers) in ₹ million unless stated.
>
> **FY26 is consolidated; FY24 and FY25 are standalone.** The company bought its subsidiary Ekkaa Electronics Industries Private Limited (EEIPL) on 29-Aug-2025 (p. 362). Manufacturing began only in 2024, so FY24 revenue is ₹0.71 m. Growth between the restated years is therefore not like-for-like. The DRHP supplies unaudited proforma figures that treat the subsidiary as owned throughout (pp. 375–388); this note uses them for growth and margin comparisons and says so each time.
>
> Upside is measured against **₹182.63**, the price at which an outside investor (Abakkus Four2eight Opportunities Fund) subscribed to Series B preference shares on 17-Jul-2026, adjusted for the 3:1 bonus and 1:2 split (pp. 99, 100). It is a private placement price, not a price band. Exit route assumed: 2–3 year hold.
>
> A DRHP is a screen, not a decision. The RHP must carry financials no more than six months old and should therefore include H1 FY27. No capital should be committed until the RHP is read.

Verdict: Screen only. The evidence is mixed.

Strengths: very fast, profitable scale-up with capacity to spare.

- Revenue from operations rose from ₹0.71 m (FY24) to ₹4,965.14 m (FY25) to ₹12,217.63 m (FY26). On proforma figures it grew 63.6% in FY25 and 72.3% in FY26 (p. 137).
- PAT was ₹653.79 m in FY26 (5.35% margin); proforma PAT rose from ₹20.51 m (FY24) to ₹353.77 m to ₹706.94 m.
- Installed capacity of 5.2 m units ran at 37.80% utilisation in FY26 (p. 247), so volume can grow before more capital is spent.
- Tax is paid at the concessional 17.16% rate: current tax was 18.3% of FY26 PBT (p. 350).
- The last outside placement priced the equity at ₹182.63, 73.5% above the ₹105.25 Series A price of Sep–Oct 2025 (pp. 94–99).

Concerns: no operating cash, heavy debt, concentration and related-party origins.

- Operating cash flow was negative in all three years: −₹152.83 m, −₹641.12 m and −₹286.59 m, against cumulative PAT of ₹848.81 m (p. 75).
- Borrowings were ₹3,087.54 m at 31-Mar-2026 and ₹3,961.43 m by 31-Jul-2026; promoters guarantee ₹3,833.93 m of them (p. 43).
- LED televisions are 71.78% of revenue; the top 10 customers (unnamed) are 65.77%; one supplier is 46.94% of raw-material purchases (pp. 22, 23, 29).
- 42.9% of the fresh issue repays debt, and 28.6% funds working capital; none funds new capacity (p. 120).

- The subsidiary was owned by two promoter-directors until August 2025. It was the issuer's largest customer in FY25 (21.01% of revenue) and was bought from them for ₹490.00 m (pp. 78, 274, 362).

At the ₹182.63 reference the model's neutral blended value is ₹169.15 (−7.4%). Its DCF value is ₹76.21 and its relative value ₹308.54: **the two methods disagree by 75%, and that gap is the finding.** The relative method prices FY26 earnings against two very large listed peers; the DCF prices cash, and the cash is negative. **H1 FY27 operating cash flow and receivables in the RHP will show which reading holds.**

Snapshot

	FY24	FY25	FY26
Basis	Standalone	Standalone	Consolidated
Revenue from operations	0.71	4,965.14	12,217.63
Proforma revenue (as if combined)	4,336.81	7,093.37	12,631.40
EBITDA (issuer KPI)	(4.08)	554.04	1,145.34
EBITDA margin	n.m.	11.16%	9.37%
Proforma EBITDA margin	2.68%	9.21%	9.36%
PAT	(40.50)	235.52	653.79
Proforma PAT	20.51	353.77	706.94
Operating cash flow	(152.83)	(641.12)	(286.59)
Inventory (year end)	55.20	1,303.03	2,520.44
Trade receivables	0.17	751.08	2,185.78
Borrowings (current + non-current)	1,696.75	3,226.39	3,087.54
Total equity	146.69	382.21	2,515.25
Installed capacity (units)	1,856,800	3,626,800	5,199,300

Sources: pp. 73–75, 137. RoCE was 18.00% in FY26 and RoE 45.13% (issuer definitions, p. 137).

Business model

- **What it sells:** finished consumer electronics and appliances made to a customer's design or its own: LED televisions (up to 98 inches), semi-automatic washing machines, personal and commercial air coolers, multimedia speakers, induction cooktops and smart displays. It also presses metal back covers for televisions (pp. 242–243).
- **To whom:** more than 450 customers in 20 states and union territories, described as retail brands, online platforms and other businesses, some of which sell the products under their own brand. No customer is named (pp. 23, 243).
- **How it earns:** a manufacturing margin on bought-in components. FY26 gross margin was 16.98% and EBITDA margin 9.37% (p. 137). The business is a pass-through of imported parts (open cells, PCB parts, optical parts, motors) with design, assembly and pressing added; raw material purchases were 91.7% of total expenses (p. 28). Supplier credit is short: payable days were 46 against 44 receivable days (p. 127).

- **What it owns vs outsources:** plants at Noida (four SMT lines, robotic press shop), Ganaur (coolers, commissioned January 2026) and, through the subsidiary, Sonipat (televisions). A 13-engineer R&D team in Noida designs products. Some land is held on lease (pp. 243, 273).
- **Origin:** the company was incorporated in March 2021 and began manufacturing in March 2024. The subsidiary EEIPL has made televisions since 2019 (p. 243). The promoter family (Sagar, Chandra Prakash and Madhuri Gupta) held 98.27% of the equity before the preference shares convert (p. 108).

Industry analysis

Source: a report by **Frost & Sullivan, commissioned and paid for by the issuer** under an engagement letter of 18-Mar-2026 (p. 242). Treat its estimates accordingly.

- **Market size:** the Indian consumer appliances market is put at ₹2,055 bn in FY26, growing at a 13.7% CAGR to ₹3,433 bn by FY30. The LED television market was ₹469 bn in FY25, projected to reach ₹859 bn by FY30 (12.9% CAGR from FY24). Washing machines (₹163 bn, 7.9% CAGR), coolers (₹120 bn, 6.8%) and induction cooktops (₹9 bn, 7.5%) grow more slowly (pp. 168–184).
- **Structure:** brand owners increasingly outsource television and appliance assembly to ODM and EMS firms. Large listed names include Dixon Technologies, PG Electroplast, Amber Enterprises and Syrma SGS; Radiant Appliances is named as a television partner for a large brand (pp. 134, 219–225).
- **Unnamed competitors:** smaller domestic assemblers and imported finished goods.
- **Regulation and cyclicality:** component import duties and trade policy, BIS certification, and state electronics subsidies (the issuer receives an interest subsidy under the Uttar Pradesh Electronics Manufacturing Policy 2020, ₹13.96 m in FY26, p. 411). Coolers and air-conditioning products are seasonal.

Moat

Source	Evidence	Durability
Scale and capacity	5.2 m units installed; 1.03 m televisions made at Noida in FY26 (pp. 247, 250)	Moderate. Capacity is idle (37.80% utilised) and replicable
Cost and backward integration	In-house SMT lines and metal pressing; gross margin 16.98% (p. 137)	Weak to moderate. Margin is thin and flat across FY25–FY26
Customer relationships	450+ customers; top 10 are 65.77% of revenue and unnamed (p. 23)	Weak. Customers are brands that can multi-source
Licences and certifications	ISO 9001, 14001, 45001; BIS for washing machines and coolers (p. 273)	Low; standard entry requirements
Subsidies	Investment-linked subsidy under the UP policy (p. 244)	Moderate, but time-limited and policy-dependent

No cost, technology or switching-cost advantage is demonstrated in the document. Returns rest on speed, capacity and customer relationships.

Revenue and profit growth drivers

Revenue.

- *Product mix:* LED televisions ₹3,610.36 m → ₹8,769.80 m (+142.9%); washing machines ₹373.98 m → ₹1,197.27 m; coolers ₹256.12 m, new in FY26; "others" (spares, scrap, freight, smart displays) ₹964.34 m → ₹1,848.72 m (p. 22).
- *Acquisition:* the subsidiary contributed ₹2,119.34 m of FY26 revenue after 29-Aug-2025 (p. 362). Excluding it, consolidated revenue was ₹10,098.29 m, +103.4% on FY25.
- *Volume vs price:* televisions made at Noida rose from 500,793 to 1,031,796 units (+106.0%) (pp. 250–251). Units sold and average realisation by product are not disclosed, so price and volume cannot be split.
- *Related-party sales:* ₹758.07 m (6.20% of FY26 revenue) were sales to the subsidiary before it was acquired (p. 78).

Profit (restated FY26 against FY25, % of revenue).

Line	FY25	FY26	Effect on EBITDA margin
Gross margin	17.40%	16.98%	−0.42 pt
Employee cost	1.34%	1.21%	+0.13 pt
Other expenses	4.90%	6.39%	−1.49 pt
EBITDA margin	**11.16%**	**9.37%**	**−1.79 pt**

The restated margin fell; the proforma margin was flat (9.21% → 9.36%, p. 137). Operating leverage on employee cost helped, but other expenses rose faster than revenue. Gross margin has not moved, so profit growth is volume, not pricing power. **One-offs and non-cash items:** other income of ₹66.37 m includes ₹13.96 m of interest subsidy and ₹8.54 m of liabilities written back (p. 411). The cash flow adds back an unrealised exchange loss of ₹101.08 m in FY26 (FY25: ₹11.83 m), 12.7% of PBT (p. 75).

SWOT

	Item
Strengths	Revenue +72.3% (proforma) in FY26; PAT ₹653.79 m (pp. 74, 137)
	Capacity of 5.2 m units, 37.80% utilised (p. 247)
	Cash tax at the 17.16% concessional rate (p. 350)
	RoCE 18.00%; interest cover 3.6x (p. 137)
	Series B priced at ₹182.63 by an outside fund (p. 99)
Weaknesses	CFO negative every year; −₹286.59 m in FY26 (p. 75)
	Borrowings ₹3,087.54 m, 96.8% of July debt personally guaranteed (pp. 73, 43)
	LED TVs 71.78% of revenue; top supplier 46.94% (pp. 22, 29)
	Gross margin flat at about 17% (p. 137)
	Receivables 65 days of revenue at year end against 44 in the issuer's table (pp. 73, 127)
Opportunities	Appliance market 13.7% CAGR FY26–30, issuer-commissioned (p. 168)
	Ganaur coolers and speakers still ramping (utilisation 2–16%) (p. 250)
	Subsidiary adds Sonipat television capacity (p. 243)

	Item
	Debt repayment of ₹2,250 m could cut finance costs of ₹278.76 m (pp. 120, 74)
Threats	Few large customers can switch brands or suppliers (p. 23)
	Imported components: unrealised exchange loss ₹101.08 m (p. 75)
	Higher raw-material prices from geopolitical events (p. 411)
	Policy support under the UP electronics policy is time-limited (p. 411)

The offer and objects

Item	Detail
Offer	Fresh issue up to ₹5,250 m plus offer for sale up to ₹2,000 m (₹1,000 m each by Chandra Prakash Gupta and Madhuri Gupta); Reg 6(2) route, at least 75% to QIBs (pp. 1, 448)
Pre-IPO placement	Up to 20% of the fresh issue possible, which would reduce it (p. 119)
Lead managers	Motilal Oswal Investment Advisors; Shannon Advisors (marketing only)
Promoter WACA	₹19.87 (Chandra Prakash Gupta) and ₹17.53 (Madhuri Gupta) per share (cover)
Convertibles	1,097 Series A CCPS (to 10,180,160 shares) and 684,463 Series B CCPS (to 5,475,704 shares) convert before the RHP; fully diluted shares 84,197,664 (pp. 99, 108)

Use of fresh-issue proceeds (p. 120):

Object	₹ m	% of ₹5,250 m gross
Repay or prepay borrowings	2,250.00	42.9%
Working capital	1,500.00	28.6%
Offer expenses and general corporate purposes (cap 25% of gross)	1,500.00	28.6%

- **Debt repayment:** ₹2,250 m against ₹3,961.43 m outstanding at 31-Jul-2026 (56.8%). The loans listed include a ₹650 m Bajaj Finance term loan taken in June 2026 for land acquisition and general purposes, and a ₹405 m Axis Bank loan used for the Ganaur plant (pp. 121–122). Several carry prepayment charges of 2% to 4%.
- **Working capital:** ₹200 m in FY27 and ₹1,300 m in FY28. The issuer assumes inventory days rising from 66 to 70, receivable days of 45 and payable days of 48 (pp. 127–128).
- **Objects floor:** none can be computed, as the fresh issue is amount-based.
- **Use of the OFS:** at ₹182.63 the ₹1,000 m each sold equals 5.48 m shares, 64% of Chandra Prakash Gupta's 8.50 m equity shares and 59% of Madhuri Gupta's 9.23 m. The DRHP confirms compliance with Regulations 8 and 8A; whether that holds depends on the final price (p. 92). To be confirmed in the RHP.

Financials: positives and concerns side by side

Positive	Concern
FY26 PAT ₹653.79 m; proforma PAT ₹706.94 m	CFO −₹286.59 m; cash conversion negative in all three years (p. 75)
Interest cover 3.6x on EBIT of ₹1,008.69 m	Finance costs ₹278.76 m; net debt about 2.7x EBITDA
Capex ₹893.28 m built capacity to 5.2 m units	Capex and working capital funded by debt, preference capital and ₹1,708.58 m of loans from the then-affiliate in FY25 (p. 79)
Cash tax paid at the concessional rate	Only ₹59.60 m paid over three years; ₹131.71 m of FY26 current tax unpaid at year end (pp. 73, 75)
Series B at ₹182.63 shows outside demand	Net worth rose from ₹382.21 m to ₹2,515.25 m, mostly through ₹1,061.31 m of preference-share proceeds and ₹397.58 m of shares issued for the subsidiary, with PAT of ₹653.79 m (pp. 73, 75, 362)
No contingent liabilities (p. 77)	The auditor's records note a backup log kept only from 18-Feb-2026 (p. 372)

Working capital as the engine. Trade working capital (inventory + receivables − payables) was ₹2,740.38 m, 22.4% of FY26 revenue, against 7.5% on proforma FY25 (₹533.07 m on ₹7,093.37 m). It rose ₹2,207.31 m on proforma revenue growth of ₹5,124.26 m: **₹0.43 per ₹1 of incremental revenue**. Closing-balance days run higher than the issuer's average-based days: receivables 65 days against 44, inventory 88 days of material cost against 66, payables 69 against 46 (pp. 73, 127). **Reconciliation:** the issuer's own working-capital requirement table in the Objects chapter was not tied to the trade-only figure in this pass; the issuer's definition includes other current assets and liabilities.

Forensic scorecard

#	Check	Result	Finding
1	Bonus before filing	PASS	1:1 bonus (28-Aug-2025), 3:1 bonus (20-Aug-2026) and the split are applied to all years (pp. 93–94, 133)
2	Cash flow vs profit	FAIL	CFO negative in all three years; cumulative −₹1,080.54 m against PAT ₹848.81 m (p. 75)
3	Current vs deferred tax	PASS	Current tax 18.3% of FY26 PBT, 15.6% cumulative; statutory rate 17.16% (p. 350)
4	Related-party capex and funds	WATCH	Subsidiary was promoter-owned, a top customer and supplier, and a lender; bought for ₹490.00 m from the promoter-directors (pp. 78–80, 274, 362)
5	Objects as price floor	N.A.	Amount-based issue
6	Revaluation reserve	OPEN	Not located in this pass
7	Goodwill / purchase accounting	WATCH	Restated: bargain purchase, capital reserve ₹20.39 m, intangible ₹37.08 m. Proforma: goodwill ₹84.99 m (pp. 362, 380)

#	Check	Result	Finding
8	Concentration, both sides	WATCH	LED TVs 71.78%; top customer 16.86%, top-10 65.77%; top supplier 46.94%, top-10 79.11% (pp. 22–29)
9	Contingent liabilities	PASS	None disclosed (p. 77)
10	Investor presentation	N.A.	None reviewed
R1	Auditor and CARO	WATCH	FY24–FY25 from special-purpose accounts; first-time Ind AS (p. 307)
R5	Eligibility	WATCH	Reg 6(2) route: FY24 operating profit was −₹11.96 m, so Reg 6(1)(b) is not met (p. 448)
R6	BRLM track record	OPEN	See merchant-banker section
R7	Capex object	N.A.	None

Related parties in full (FY26): sales to subsidiary ₹758.07 m (6.20% of revenue); purchases from it ₹362.98 m (2.97%); interest to it ₹36.72 m; loans from it ₹583.91 m taken and ₹1,306.02 m repaid; promoter-director remuneration ₹22.05 m (Sagar ₹8.75 m, Chandra Prakash ₹10.50 m, Madhuri ₹2.80 m); rent ₹6.63 m and an advance of ₹4.55 m to Gaurisuta entities; CSR ₹4.80 m to a promoter foundation (pp. 78–80). FY25: sales to the subsidiary ₹1,043.40 m (21.01%), purchases ₹894.49 m (18.02%) and loans taken ₹1,708.58 m (34.41% of revenue). **Governance:** six directors, three executive (all promoter family) and three independent. All three independent directors joined in 2026: Mukesh Kumar Singh and Santosh Ramanuj Tiwari on 21-May-2026 and Rupinder Kaur on 10-Sep-2026 (14 days before the DRHP date). Rupinder Kaur is described as an IBBI-registered valuer; the valuation of the issuer's shares at ₹888 in the August 2025 share swap was by a valuer of the same name (pp. 274, 286–287). Whether this is the same person, and its bearing on independence, is not stated and should be confirmed. Two of the three independent directors also sit on the board of Skyways Air Services Limited, an IPO for which Shannon Advisors was a lead manager (pp. 286, 457). No independent director has completed a full audited year in role.

Merchant bankers

Two lead managers: **Motilal Oswal Investment Advisors Limited** (lead) and **Shannon Advisors Private Limited** (marketing only, but a signatory of the due-diligence certificate, p. 83).

- **Owner:** not sourced in this run for either firm; left blank in the fund's banker file.
- **Motilal Oswal issues (DRHP pp. 456–457):** 14 IPOs in FY2026-27 (₹420,983 m), 21 in FY2025-26 and 7 in FY2024-25. Of the 14, at day 30 two traded at a discount of under 25%, one at a premium above 50%, two at 25–50% and one under 25%; the rest had not reached day 30.
- **Recent listings (listing-day open against issue price):** National Stock Exchange +0.8%; LCC Projects +31.4%; Rentomojo +19.4%; Manipal Payment & Identity −2.6%; Glass Wall Systems +4.5%; Lumino Industries +34.2%; Symbiotec Pharmalab −1.0%; Augmont Enterprises +21.9%; Molbio Diagnostics +21.4% (day 30 +68.7%); Lohia Corp +8.5% (day 30 +33.0%).
- **Shannon Advisors issues:** Globtier Infotech (BSE SME, ₹310.46 m, ₹72 issue price, listed 02-Sep-2025): opened −20.0%, day 30 −36.95%, day 90 −44.08%, day 180 −57.05%. Skyways Air Services (₹5,827.96 m, ₹138, listed 01-Sep-2026): opened −10.1%; later data not yet available.
- **Current prices and issuer revenue and PAT growth** for these issues were not refreshed in this run; where earlier runs recorded them they stay marked unverified in the fund's banker file.

- **Read:** the lead manager's record is mixed but weighted to listing gains; the marketing-only partner's two issues both opened below issue price. Track-record tables beyond the DRHP's three-fiscal window have not been compiled.

Valuation

Neutral drivers: revenue growth 25% / 20% / 15% / 12% / 10% over five years, EBITDA margin 8.5%, trade NWC 22% of revenue, terminal ROIC 19%, tax 17.16%, cost of debt 8.3% (facility rates 7.25–9.35%, pp. 122), WACC about 16.6%, terminal growth 4.5%. Each driver and its cite is in the workbook (Assumptions sheet). Peers are two of the issuer's three named listed names: Dixon Technologies and PG Electroplast, per share; Amber Enterprises is excluded as an air-conditioner component and EMS business (p. 134). A 55% discount to peer median is applied for size and cash flow, and DCF is weighted 60:40 against relative. Net debt is adjusted for the ₹1,000 m of Series B proceeds received after the balance-sheet date, to match the share count.

Per share (₹)	Bear	Neutral	Bull
DCF	50.86	76.21	107.04
Relative	308.54	308.54	308.54
Blended	153.93	169.15	187.64
vs ₹182.63 reference	−15.7%	−7.4%	+2.7%

Use of proceeds funds no capex in any case, so the Bear and Neutral cases do not differ on that. **DCF and relative diverge by 75% in the neutral case.** The relative method applies 48.6x and 121.5x earnings multiples of two large listed groups; the DCF discounts free cash flow that is negative today. Terminal value is above 75% of enterprise value, so the DCF is mostly a terminal assumption. The relative figure rests on two peers and should not be relied on alone.

Value depends on the offer price. The fresh issue is fixed at ₹5,250 m, so a higher price means fewer new shares:

Assumed offer price (₹)	Blended: Bear	Neutral	Bull
100	127.2	139.8	155.0
150	145.9	160.3	177.8
182.63	153.9	169.1	187.6
250	165.3	181.6	201.5
350	175.3	192.6	213.6

On these inputs the model's blended value equals the offer price at about ₹145 (Bear), ₹164 (Neutral) and ₹190 (Bull). Above those prices the model's value is below the price.

At the ₹182.63 reference: the price is 20.2x FY26 basic EPS of ₹9.04, 23.5x EPS on the fully diluted pre-issue count (₹7.77) and 5.3x NAV of ₹34.79 per share. Issuer-named peers trade at 48.6x to 139.5x earnings (p. 134). The price is 9.2x and 10.4x the promoters' average costs of ₹19.87 and ₹17.53. Post-money ROE on FY26 PAT is about 7.7% (assuming 5% offer expenses, which the DRHP does not state).

Reverse DCF. Current free cash flow is negative, so no multiple can be stated and the entire price rests on a turn that has not yet begun. The turn would come from converting ₹2,520 m of inventory and ₹2,186 m of receivables to cash and from the 9.4% EBITDA margin holding as volumes grow.

What would change our view

- **Cash conversion:** H1 FY27 operating cash flow turning positive and above 50% of PAT (FY26: −₹286.59 m).
- **Working capital:** trade working capital back below 15% of revenue; receivable days under 50 on a closing basis (FY26: 65).
- **Price band:** a floor price below about ₹164, the neutral blended value on current inputs.
- **Customer concentration:** top customer below 15% and top-10 below 55% of revenue, with customers named and confirmed as unrelated.
- **Supplier concentration:** top supplier below 35% of raw-material purchases (FY26: 46.94%).
- **Leverage:** borrowings at or below ₹2,500 m after the debt object, with guarantees released or reduced from the ₹3,833.93 m now guaranteed.
- **Governance:** confirmation that the independent director who is an IBBI valuer is not the person who valued the August 2025 share swap, and a board with independent directors serving a full audited year.
- **Accounting:** one treatment of the subsidiary purchase across the restated and proforma statements.
- **Margins:** FY26 other expenses (6.39% of revenue) explained between volume-linked and one-time items.

Risks

- Dependence on one product (LED televisions, 71.78%) and a small group of unnamed customers.
- Imported components and foreign-exchange exposure; supplier concentration at 46.94%.
- Leverage and interest cost: debt rose by ₹873.89 m in four months to 31-Jul-2026; promoters guarantee almost all of it.
- Related-party history: the subsidiary, its loans to the issuer and the acquisition were all with promoter-directors.
- A short operating record: manufacturing started in March 2024; FY24 and FY25 figures are special-purpose accounts.
- Execution of a ramp-up from 37.80% utilisation and new product lines (coolers, speakers, cooktops at 2–16%).
- Market-size and share claims rest on a report the issuer commissioned and paid for.

Data gaps

Item	Severity	Source
Price band, offer expenses and GCP amount	High	RHP
H1 FY27 results; cash flow and receivables after 31-Mar-2026	High	RHP
Customer identities; related-party status of customers	High	RHP / issuer / MCA
Geographic revenue split; import share of materials; hedging policy	Medium	RHP
Units sold and realisation by product	Medium	RHP

Item	Severity	Source
Whether the independent director and the IBBI valuer are the same person	Medium	MCA / issuer
BRLM track record beyond the DRHP tables; current prices of listed issues	Medium	BSE / NSE
Revaluation reserve; other-equity breakdown	Low	DRHP notes

Verification

- **Restated P&L reproduces:** FY26 total expenses ₹11,487.70 m equal the sum of lines; PBT ₹796.30 m and PAT ₹653.79 m follow. FY25 PBT ₹272.44 m and PAT ₹235.52 m reproduce; FY24 loss before tax is ₹19.94 m.
- **EBITDA reproduces the issuer's KPI:** FY26 revenue ₹12,217.63 m − cost of goods ₹10,142.86 m − employee cost ₹148.21 m − other expenses ₹781.22 m = ₹1,145.34 m.
- **Balance sheet balances** in all three years: FY26 total assets ₹8,398.03 m; FY25 ₹4,436.22 m; FY24 ₹2,025.82 m.
- **Cash flow reproduces:** FY26 net cash from operations −₹286.59 m equals −₹233.95 m generated less ₹52.64 m tax.
- **EPS ties:** FY25 EPS ₹3.63 and FY24 EPS (₹0.62) reproduce on about 64.96 m post-bonus shares; FY26 EPS ₹9.04 on about 72.3 m weighted shares including preference shares.
- **Share-swap value reproduces:** 447,725 shares × ₹888 = ₹397.58 m, plus ₹92.42 m cash = ₹490.00 m (p. 362).
- **Series B price reproduces:** 684,463 shares × ₹1,461 = ₹1,000.0 m, ₹182.63 per post-split share (p. 99).
- **Errors:** none found beyond rounding. The restated and proforma statements treat the subsidiary purchase differently (capital reserve against goodwill); this is a disclosure difference, not an arithmetic error.
- **Merchant-banker figures:** listing data are from the DRHP (pp. 456–458); no ownership or current-price data was added.
- **Workbooks:** see toolkit verification result in the pull request.

Disclaimer and disclosures

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

Disclaimer and disclosures

This material is published by Parshwanath Capital Ventures Fund, a Category III Alternative Investment Fund registered with the Securities and Exchange Board of India (SEBI) under the SEBI (Alternative Investment Funds) Regulations, 2012, Registration No. IN/AIF3/25-26/2108. Fund Manager: CA Deep Dalal. Sponsor: Jignesh Shah.

This material is for information and educational purposes only. It does not constitute an offer, invitation, solicitation or recommendation to buy, sell, subscribe to or bid for any security, and it is not investment advice within the meaning of the SEBI (Investment Advisers) Regulations, 2013 or a research report within the meaning of the SEBI (Research Analysts) Regulations, 2014. Calls such as 'Subscribe', 'Neutral', 'Avoid' or 'Screen only' record the Fund's internal analytical view of an offer document and are not a recommendation to any reader.

Units of the Fund are offered only on a private placement basis to eligible investors through the Fund's Private Placement Memorandum, in accordance with the SEBI (Alternative Investment Funds) Regulations, 2012. Nothing in this material is, or should be construed as, a solicitation of investment in the Fund.

The analysis is based on offer documents (DRHP / RHP / prospectus) filed with SEBI and the stock exchanges and on other publicly available information. Figures from sources other than the offer document are identified as such and have not been independently verified. Valuation models, scenarios and projections are illustrative, depend on stated assumptions, and are not forecasts or assurances of future performance. No representation or warranty is given as to accuracy or completeness, and the Fund, its Manager, Sponsor, employees and associates accept no liability for any loss arising from the use of this material.

Disclosure of interest: the Fund, its Manager, Sponsor and their associates may apply for, bid in (including as Anchor Investor or Qualified Institutional Buyer), hold, buy or sell securities of any issuer discussed, before or after publication, and may act in a manner inconsistent with the views expressed here.

Investors should rely on their own examination of the offer document, including its risk factors, and consult their own financial, legal and tax advisers before making any investment decision. Past performance, including of any issuer or lead manager, is not indicative of future results.

Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

Registration granted by SEBI in no way guarantees performance of the Fund or its Manager or provides any assurance of returns to investors.

Investor grievances: fundmanager@parshwanath.in. Complaints may also be lodged with SEBI through SCORES at https://scores.sebi.gov.in.